

GRUPO BIMBO

Investor Presentation 2Q13

Grupo Bimbo





- **Global leader** in baking and one of the largest packaged food players
- LTM 2Q13 Sales: **USD $13.6 Bn**[1]
- LTM 2Q13 EBITDA: **USD $1.2 Bn**[1]
- Presence in **19 countries**
- **+10,000 products** and **+100 brands**
- Categories: packaged bread, salted snacks, confectionary, tortillas and packaged food
- Market Cap of **USD $15.3 Bn**[2]

1. *LTM figures as of June 30th, 2013. Converted to USD using the average LTM rate of $12.8033*
2. *As of July 19th, 2013*

Broad Asset Base





124,000 associates



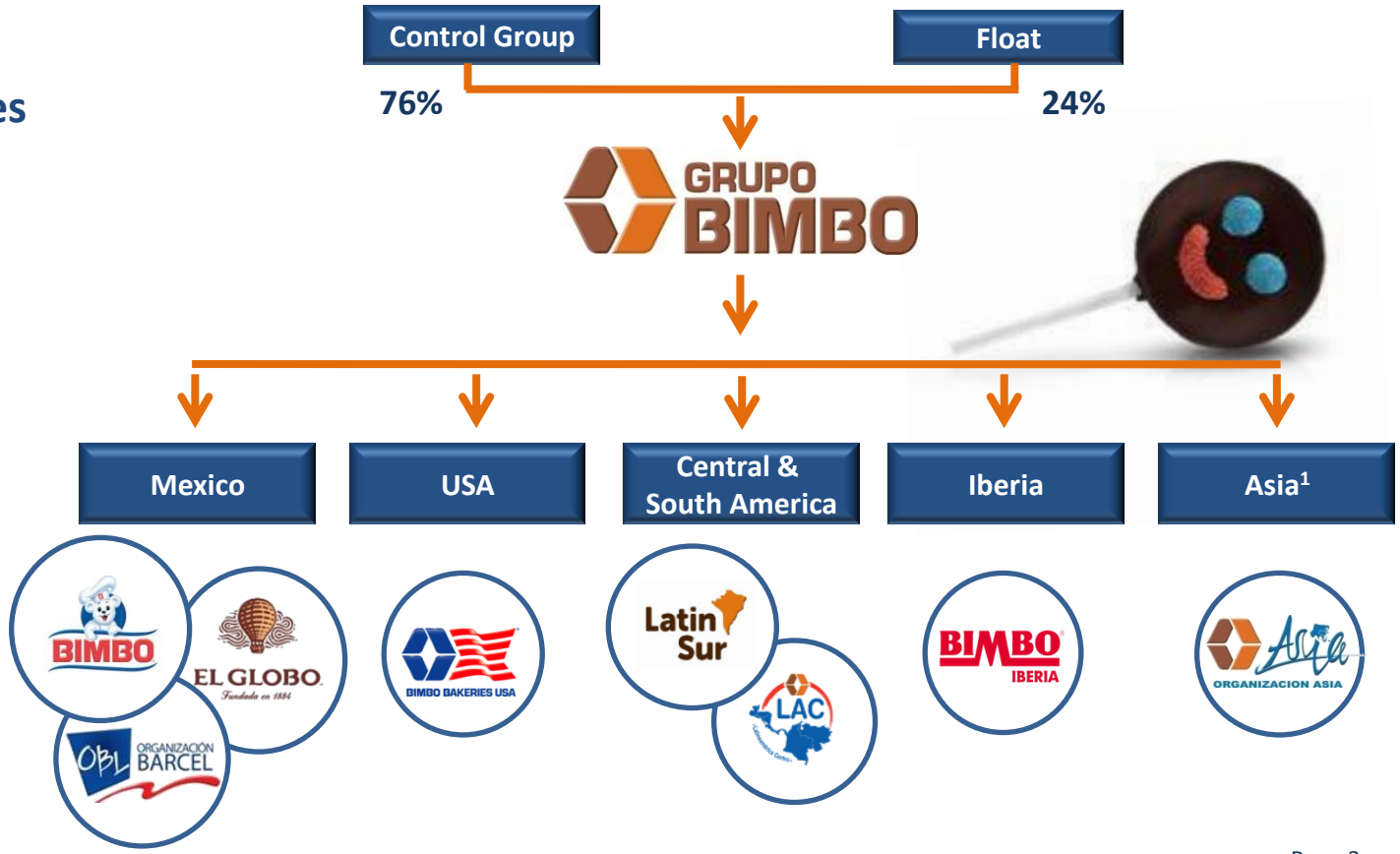
152 plants



+2.2 MM POS



+51,000 routes



1. Asia's results are included in Mexico

Globally Present, Locally Committed



United States
- Leader nationwide
- #1 in premium brands
- #1 in English muffins
- #1 portfolio of Hispanic brands[1]
- Strong regional brands

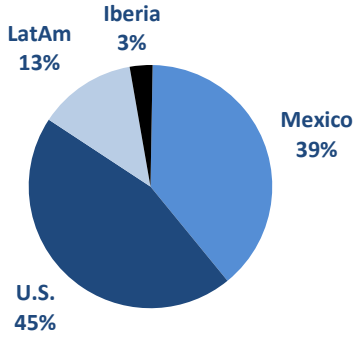
Portugal & Spain
- #1 in packaged baked goods
- Leading brands in sweet baked goods and snack categories

Mexico
- #1 in packaged baked goods
- #1 in pastry chain
- #2 in cookies and crackers
- #2 in salty snacks
- #2 in confectionary

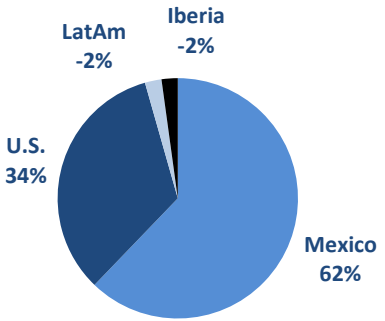
Central & South America[1]
- #1 in packaged baked goods in 14 countries

China[1]
- Pioneer in developing packaged baked goods in Beijing and Tianjing

LTM Revenue Breakdown (US$13.6 Bn)[2]



LTM EBITDA Breakdown (US$1.2 Bn)[2]



Source: Datamonitor

1. *Source: Company Research*
2. *LTM pro forma figures as of June 2013, converted to US$ using the LTM average rate of $12.8033*

Successful Growth Case



Strict Reinvestment

Strategic Focus

Sustainable Growth

Solid Balance Sheet

1945

50s

60s

70s

80s

90s

00s

2009

2011

Accelerated International Expansion

Successful growth story through a combination of organic growth, strategic acquisitions combined with a conservative financial policy

Key Success Drivers



- Dedication to Bakery Industry
- Long Run Player in a Very Attractive and Non-Cyclical Industry
- Brand Equity
- Innovation & Deep Consumer Understanding

Over the last decade GB shifted from a strong local player to a leader in the Americas

- Socially & Environmentally Responsible
- Responsible Financial Management
- Experienced Management Team and Strong Corporate Governance
- Exceptional & Unparalleled Distribution Network

Leading Player in an Attractive Non- Cyclical Industry



Attractive industry Fundamentals

Resilient Industry

High consumption frequency

Non-discretionary products

Key success drivers

Innovation & product quality

Strong franchise and brand equity

Distribution, scale & diversification

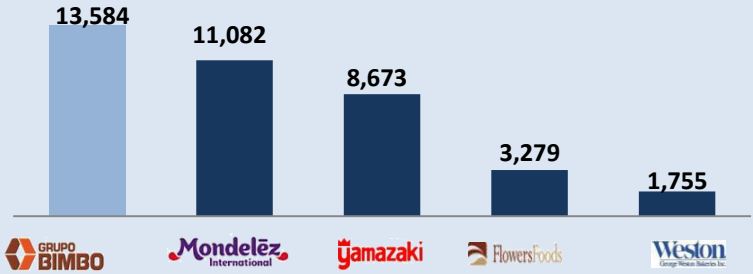
Competitive Dynamics

Major players account for 12% of global mkt share

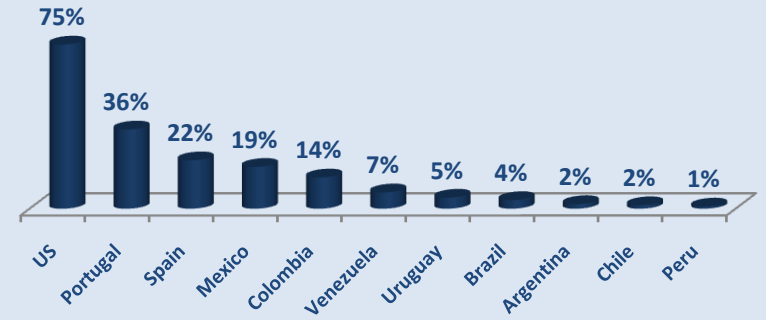
Highly fragmented

Local industry due to short shelf life

LTM Revenues in US$MM[1]



Packaged Bread Penetration[2]



1.Bimbo figures as of June 30, 2013; Mondelez biscuit business, LTM figures as of March 31, 2013; Yamazaki excludes revenues from retail and confectionary segments, figures as of December 31, 2012; Flowers Foods LTM figures as of April 20, 2013; Weston Foods segment refers to the fresh and frozen baking company located in Canada and frozen baking and biscuit manufacturing in the U.S., LTM figures as of March 23, 2013

2. Datamonitor 2011, Bread & Rolls category in market volume; Packaged bread refers to the pre- packed bread produced at industrial facilities

Strong Brand Equity and Deep Consumer Understanding



Taking innovative products around the world

Deep **consumer understanding**

4 R&D Institutes

Leadership in core products and markets

Broad portfolio

Every **meal**, every **occasion**, every consumer **group**

Extraordinary **Brand** Awareness

Products that have changed the **industry's course**

Keep up with **evolving** consumer **trends**

Exceptional Distribution Network and Manufacturing Facilities



Competitive advantage



On of the largest fleets in the Americas



+51,000 routes

Unique expertise in moving high volume products



+2.2 MM POS



Attuned distribution model for each channel



152 plants in 19 countries

Low cost manufacturing

Access to unmatched technological equipment

Local Execution

Seasoned Management Team, Sound Governance & Strong Corporate Identity

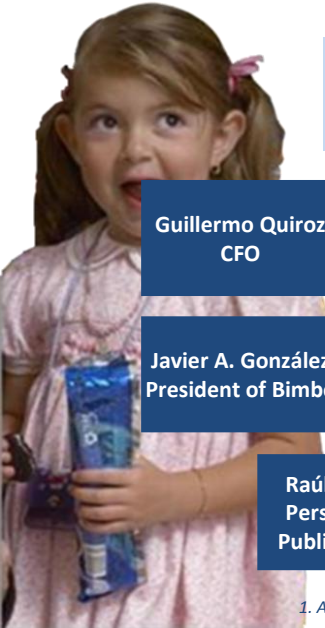


Daniel Servitje
Chairman of the Board

Audit Committee (5 independent members)	Compensation & Benefits Committee (5 members, 1 independent)	Finance & Planning Committee (7 members, 1 independent)

Daniel Servitje
CEO

Guillermo Quiroz CFO	Gary Prince Deputy CEO of Grupo Bimbo	Pablo Elizondo Assistant CEO of Grupo Bimbo
Javier A. González President of Bimbo	Fred Penny President of Bimbo Bakeries USA (BBU)	Reynaldo Reyna Chief Information and Strategy
Raúl Argüelles Personnel and Public Relations	Guillermo Sanchez Operations Auditing Director	



Seasoned Management Team

- Positioned the company as the market leader
- Proven track record of stability and growth
- Successfully integrated more than 30 acquisitions over the past 10 years
- Developed innovative ideas and best practices in manufacturing

Sound Governace

- Corporate Governance aligned with shareholders' interests
- 40% of board members are independent
- 3 Corporate Committees

Identity, Corporate Culture & Citizenship

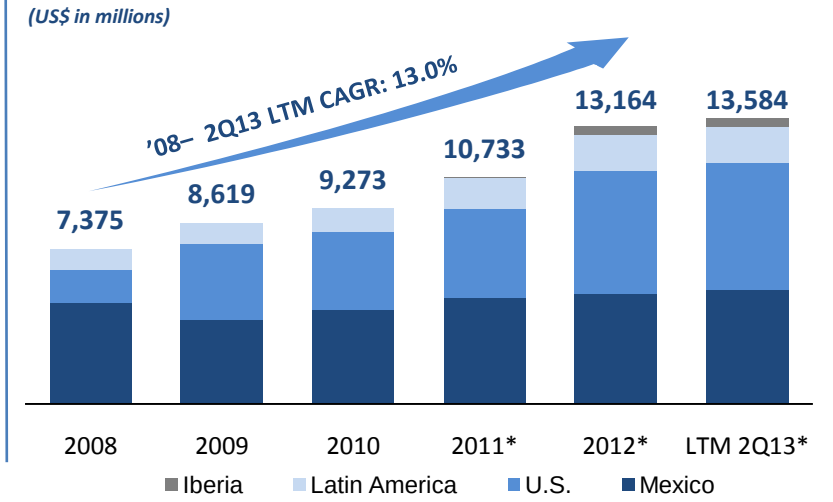
- One of the most respected companies in the World[1]
- Reputation built on a strong corporate identity and brand equity
- Key component is its wide ESR Program
- Complies with WHO's Global Strategy on Diet and Physical Activity & Health

1. According to the Reputation Institute (September 26, 2011)

Strong Financial Performance



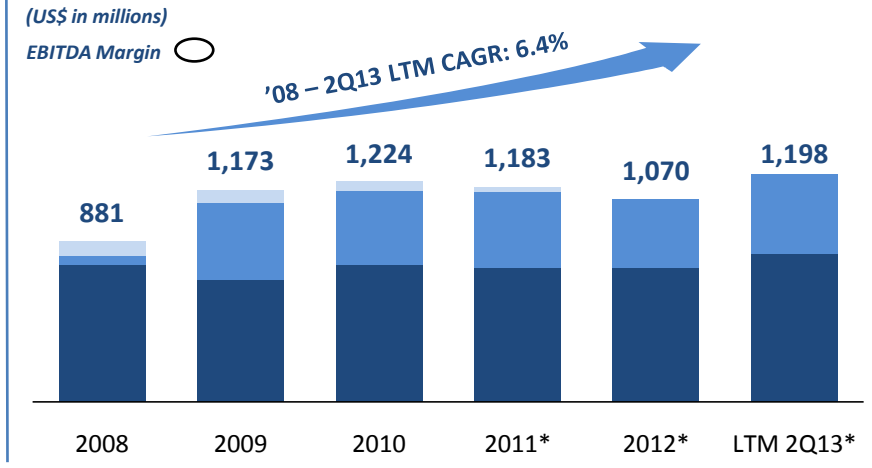
Revenue Growth[1]



5 year CAGR in USD[1]:

Mexico	USA	Latam
2.6%	30.6%	11.7%

EBITDA Growth[1]



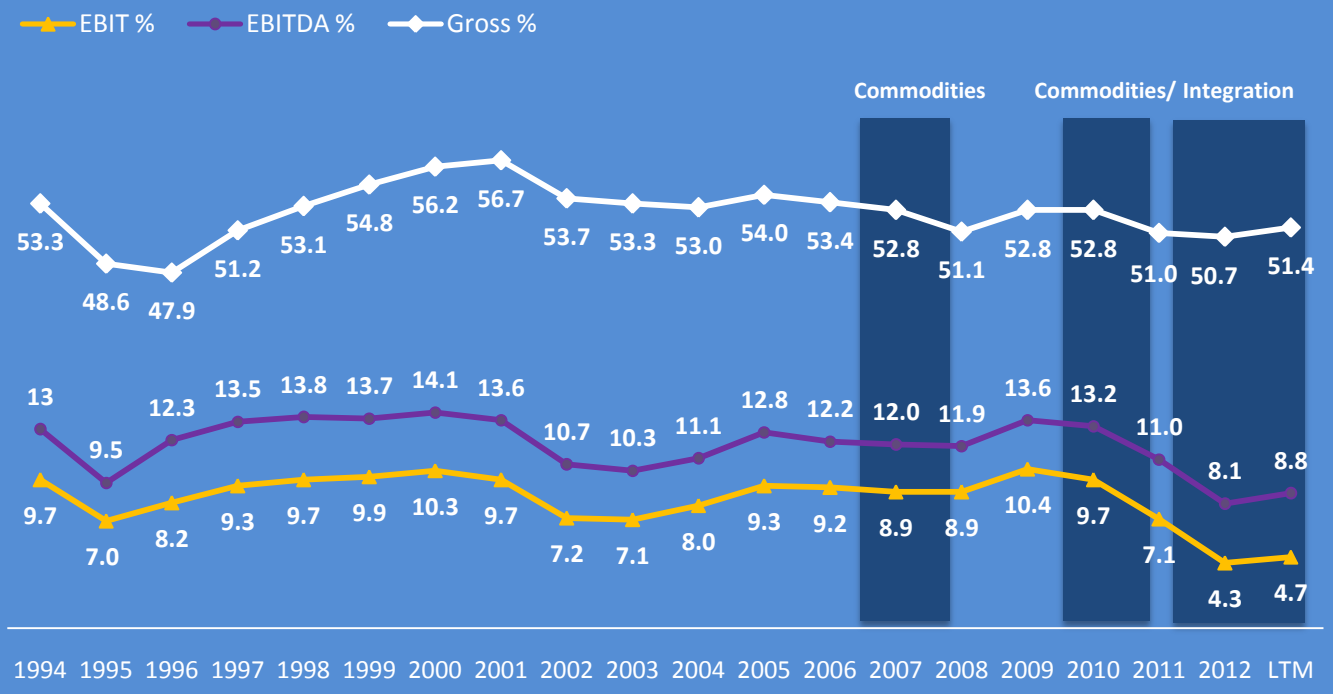
GB	11.9%	13.6%	13.2%	11.0%	8.1%	8.8%
MX	15.5%	16.5%	16.6%	14.3%	13.8%	14.7%
U.S.	3.0%	11.5%	10.9%	9.8%	6.4%	7.2%
LatAm	7.6%	7.0%	4.6%	1.7%	-1.1%	-1.7%
Iberia				-18.6%	-8.7%	-6.9%

1.Figures converted to USD using the 12M average FX rate for each year
* 2011, 2012 & 2013 figures in IFRS

Financial Stability







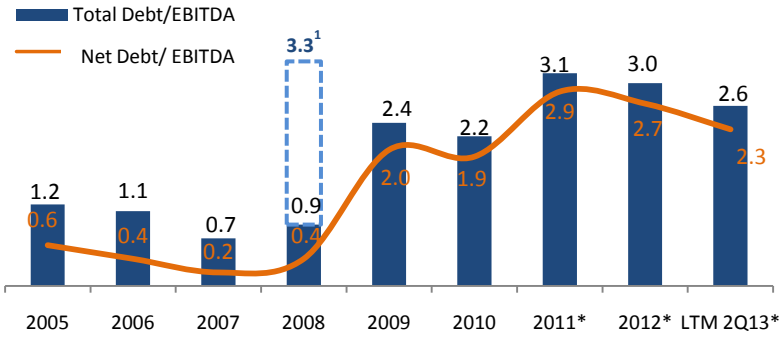
.Figures for 2011, 2012 and 2013 registered according to IFRS

Responsible Financial Policies

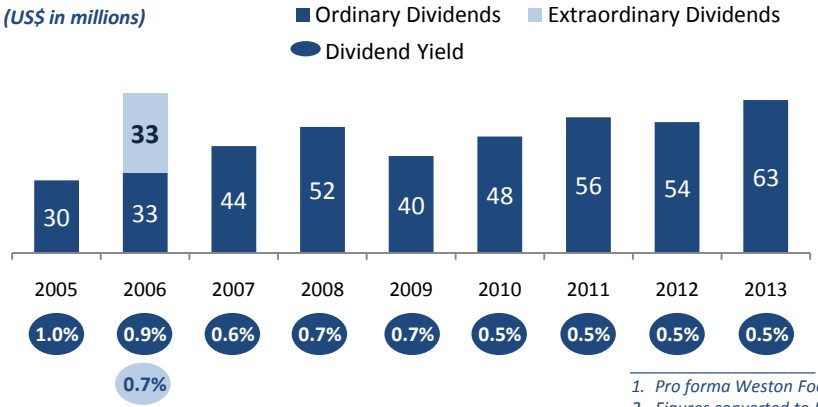


- Flexible Capital Structure
- Rapid deleveraging: target <2x
- Investment grade ratings: Baa2/BBB/BBB (Moody's/Fitch/S&P)
- Strict management of CAPEX & Working Capital
- Conservative Dividend Policy
- Responsible risk management

Leverage



Conservative Dividend Policy[2]





1. *Pro forma Weston Foods, Inc, acquisition*
2. *Figures converted to US$ using the FX of the day dividends were paid*

** 2011, 2012 and 2013 in IFRS*

Responsible Financial Management



Jan 2012: US$800mm of 4.5% due 2022 under Reg-S Rule

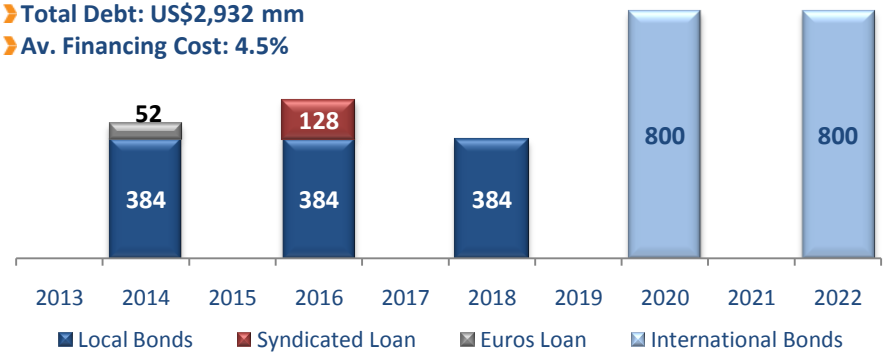
Current undrawn committed facilities for US$1.5 Bn by 2017

Feb 2012: Ps. 5 Bn of 6.83% local bonds, at 6.5 years

Instrument	Amount *(US$ millions)*	Currency	Average Life
Bank Facilities	180	MXN-USD-EUR	1.8 years
Bonds	2,752	MXN – USD	5.8 years

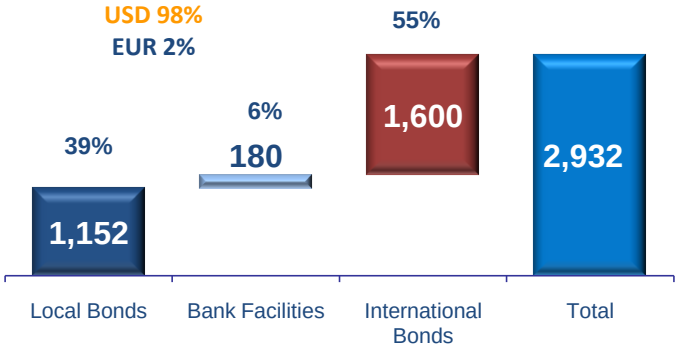
Amortization Schedule[1]

- Average Life: 5.5 years
- Total Debt: US$2,932 mm
- Av. Financing Cost: 4.5%

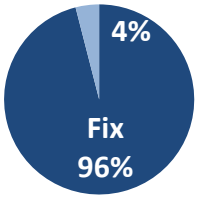


Debt Structure[1]

Debt denominated in:
USD 98%
EUR 2%



By Cupon



1.Figures as of June 30, 2013.. Does not include debt at the subsidiary level. FX $13.0235

Building a Sustainable Future



We understand there is no conflict in doing good and doing well

sembrando juntos

Wellbeing

- WHO and SSA guidelines
- Trans fats removed from 99.5% of products
- 700 reformulated products

Planet

- Wind farm in Mexico
- Energy consumption down 11m kWh
- Water consumption down 230k m3
- Recycling in 84% of plants in Mexico
- 72% of wastes are recycled

Community

- 10K families supported by *"Fundar"*
- 65K indigenous people benefited
- 75K students benefited
- *"Limpiemos Mexico"*

Associates

- +127K associates in 19 countries
- Solid ethics
- Strong focus on development

Looking Ahead



A Transitional Year



Long Term Vision- Do It Right

- IT
- Leadership
- Growth
- EFICIENCY

Think Big, Think Future

Synergistic Transaction

One time costs are necessary to capture synergies (US$200mm)

1. Cost
   - **Manufacturing**
   - Distribution
   - S&A
2. Revenue

BIMBO Fargo el pan del día

Better Together

- **Efficient operation with value creation to consumers**
- **Strong CF generation**
- **Industry Transformation**

The New BBU

Time to Invest



Our Strong Cash Flow Generation Backs our Investment Plan



Investments are clearly focused on **productivity**

- US synergies- **reconfigure** manufacturing print
- Streamline **manufacturing capabilities**
- LatAm- Build **scale** and **market penetration**

- Next couple of years…CAPEX around 1.3x depreciation

Low- Cost Producer

Time to deleverage





Total Debt/ EBITDA



1.Pro forma figures with Weston Foods acquisition

** 2011, 2012 and 2013 in IFRS*

Why Grupo Bimbo?
We believe and we create

5 year return in USD[1]





1. Long-term **value** creation
2. **Strongly positioned** in local & International indexes
3. **Focused** on our core business
4. Cash flow **stability**
5. Successful **deleveraging** and solid **investment grade** ratings
6. Strong & continuous **reinvestment**
7. **Responsible** Financial Management

As of July 19th, 2013

Annex: Financial Results by Region & Recent Acquisitions

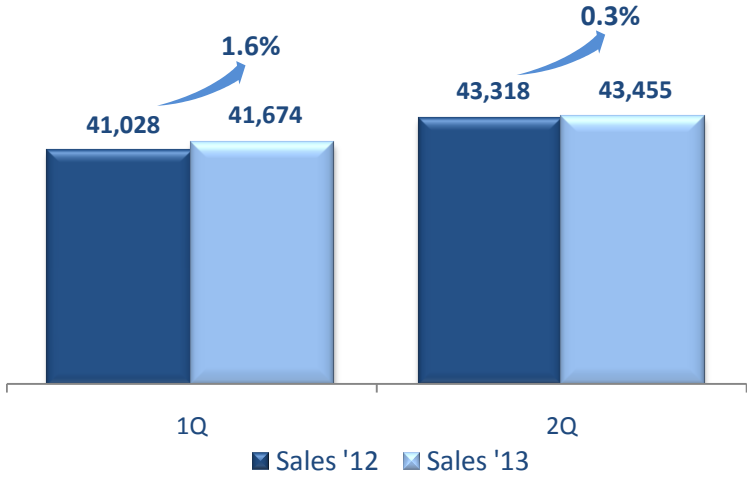


Grupo Bimbo - Quarterly Results



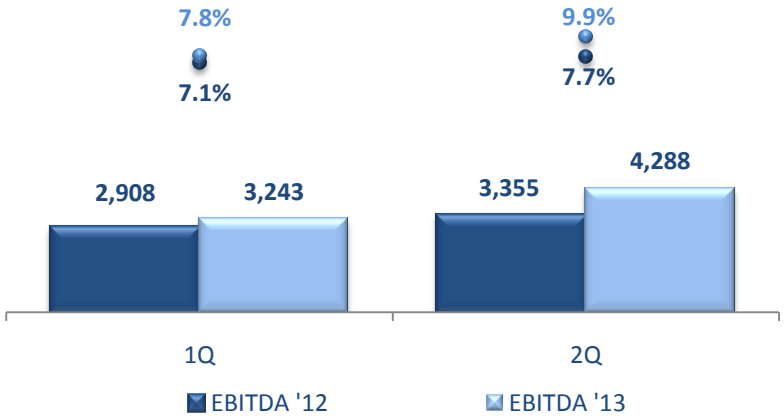
Revenue Growth

(MXN$ in millions)



EBITDA

(MXN$ in millions)



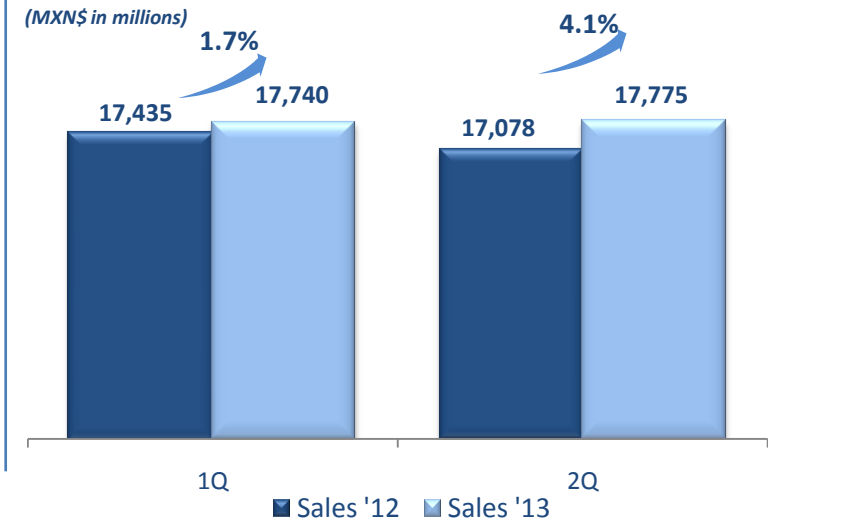
- ✓ **Volume gain** in US and improvement on a sequential basis in Mexico
- ✘ **FX impact** in US and Latam

- ✓ Production efficiencies - **waste reduction / synergies** in the US
- ✓ Benefit of **FX** in Mexico
- ✘ **Higher input cost** across all regions
- ✘ **Integration expenses** in the US
- ✘ Brazil´s **restructuring** charges, little impact because almost 85% were non-cash items

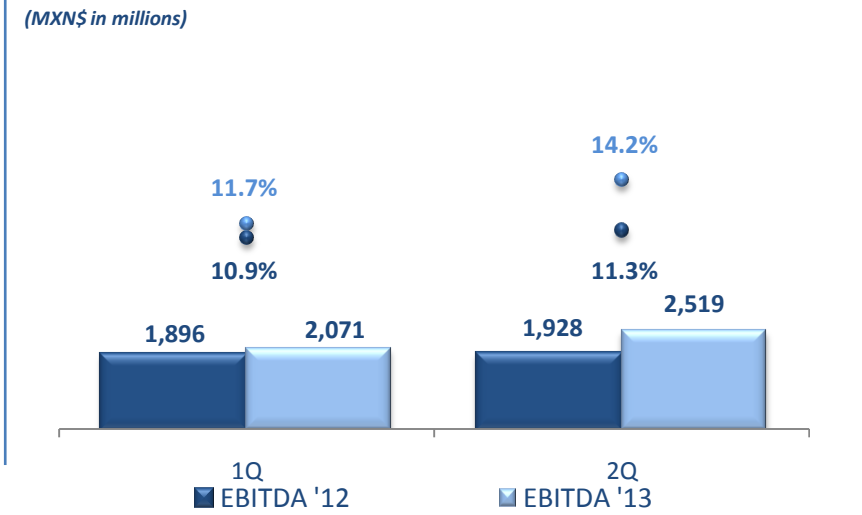
Mexico- Quarterly Results



Revenue Growth



EBITDA



✓ **Volume** still weak but there was a **positive momentum** from 1Q'13

✓ Benefit of **FX rates**

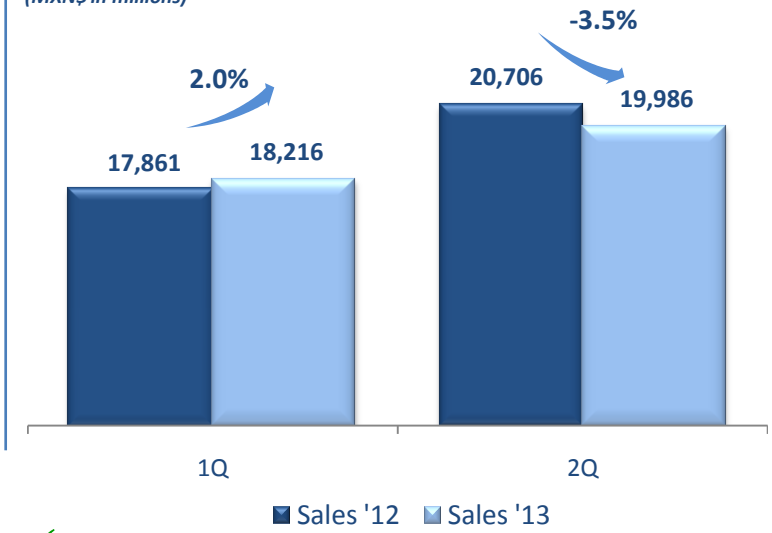
✘ **Higher** raw materials

United States- Quarterly Results



Revenue Growth

(MXN$ in millions)

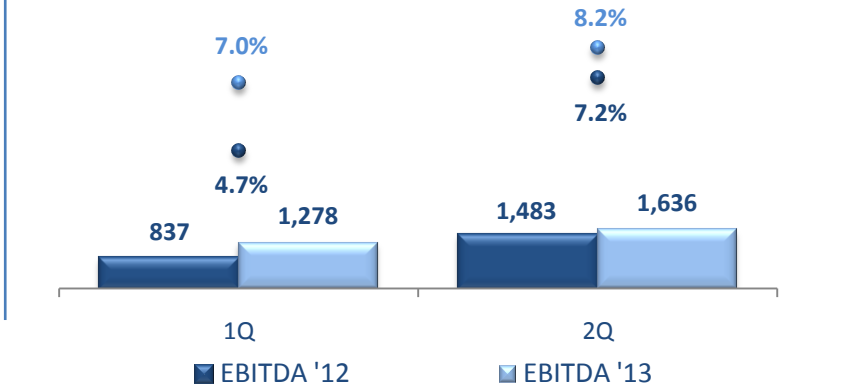


✓ **Market share** gains: opportunities in the marketplace, new categories and portfolio improvements

✘ **FX impact**

EBITDA

(MXN$ in millions)



✓ Production efficiencies- **waste reduction/ synergies**

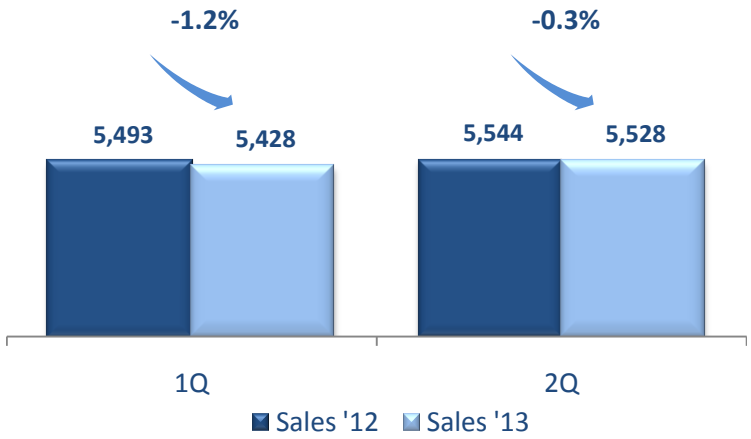
✘ **Integration** related expenses

Latin America- Quarterly Results



Revenue Growth

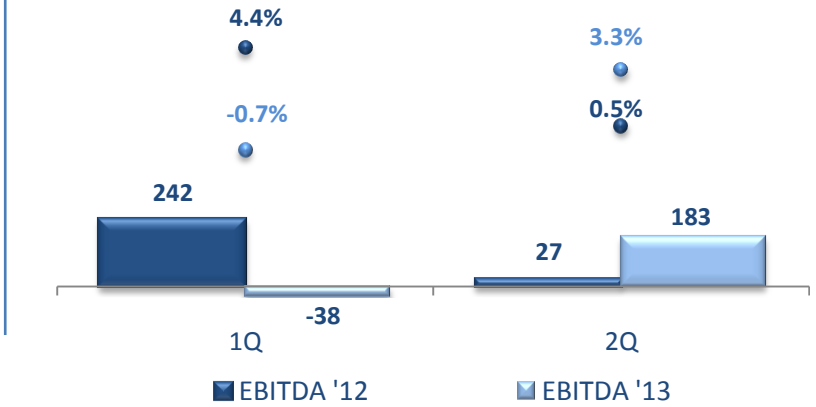
(MXN$ in millions)



- ✘ **Deceleration of volume** growth on **weak consumption** environment
- ✘ **FX** impact

EBITDA

(MXN$ in millions)



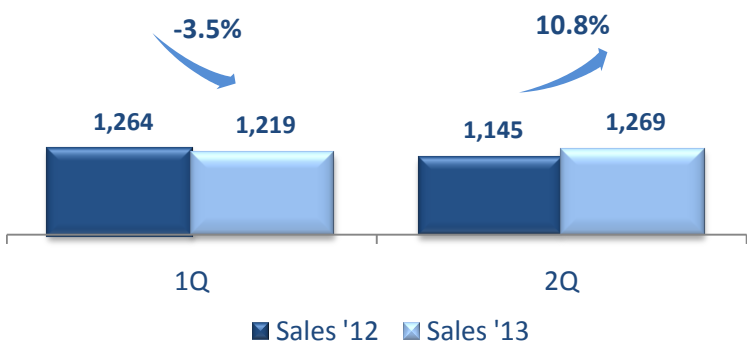
- ✓ Production efficiencies
- ✘ Lower absorption of costs due to **volume deceleration**
- ✘ Brazil´s **restructuring** process expenses , little impact because almost 85% were non-cash items

Iberia - Quarterly Results



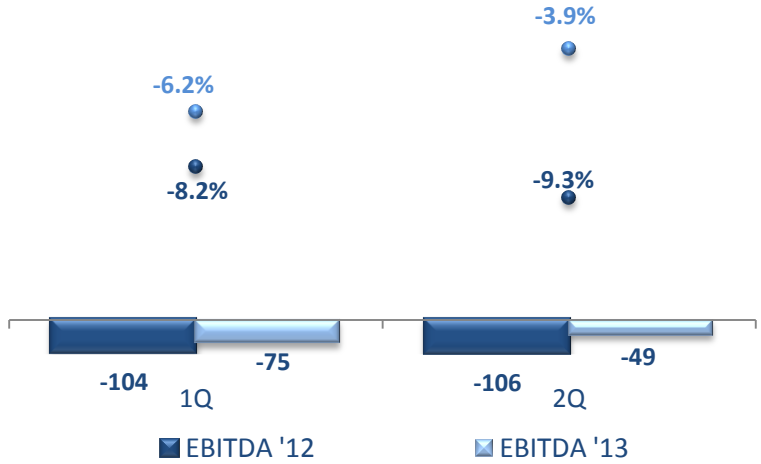
Revenue Growth

(MXN$ in millions)



EBITDA

(MXN$ in millions)



- ✓ Better **volume** performance (10.8% includes effect of ERP implementation, which resulted in a low basis of comparison)
- ✘ **Challenging economic** environment

- ✓ Production efficiencies
- ✘ **Integration process** and **restructuring** business model

Recent Acquisitions

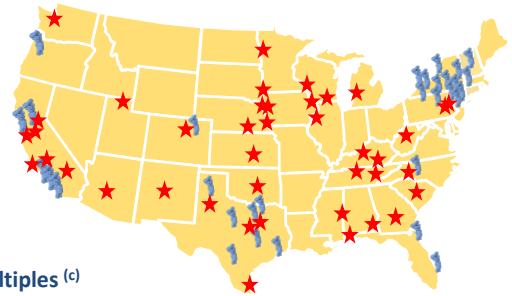


Sara Lee North American Fresh Bakery - Earthgrains

- Acquired for an all-cash purchase price of **US$709** million (Initial value: US$959 million), which includes US$34 million in assumed liabilities
- Attractive acquisition, which will add **scale**, diversify the **brand portfolio** and complement the **geographic footprint**
- Identified **synergies of US$150 million** to be achieved by 2014

	Bimbo Bakeries USA	Sara Lee
Super Premium/ Variety	Oroweat, Arnold, Brownberry	Earthgrains
Premium Sandwich/ White		Sara Lee
Regional/ Mass	Mrs Baird's, Stroehmann, Freihofer's, Weber's	Sunbeam, Rainbo, Colonial, Heiner's Bakery
Specialty	Thomas, Entenmann's, Boboli, D'Italiano	
Ethnic Hispanic	Bimbo, Marinela, Tia Rosa	

	Bimbo Bakeries USA	Sara Lee	Synergies[d]	Pro Forma[b]
Net revenues (US$ mm)	3,701	2,036		5,737
EBITDA (US$ mm)	406	78	150	634
Margin	*11.0%*	*3.8%*		*11.1%*
Routes	*8,480*	*4,700*		*13,180*
Associates	*14,000*	*13,000*		*27,000*
Plants	*34*	*41*		*75*



Implied transaction multiples [c]

- FV/LTM Revenues: **0.35x**
- FV/LTM EBITDA: **9.1x**
- FV/Synergized EBITDA: **3.1x** [d]

a)LTM as of June 30, 2011

b) Figures are pre consent decree divestitures

c) Multiples based on US$709mm enterprise value and LTM figures as of June 30, 2011; assumes no tax benefits and proceeds or impact from divestitures associated with the Consent Decree agreed with the DOJ

d) Assuming US$150 million synergies by 2014

1. Includes plants to be divested

Recent Acquisitions



Sara Lee Spain and Portugal

- Acquired for an all-cash purchase price of **€115 million**
- Entry to sizeable market through established brand leader
- Market leading brands in the bread, sweet baked goods and snack categories
- Implied transaction multiples:
  - FV/LTM Revenues: **0.4x**
  - FV/pro forma LTM EBITDA[(a)]: **6.7x**

Fargo Brands

- This acquisition will further strengthen Grupo Bimbo's regional profile and growth strategy in Latin America
- Achieved leadership in the market
- 5 production plants, 1,600 associates in Argentina

Thank you





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